

NITTY-GRITTIES OF CREATING INCOME STATEMENT

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CREATED FOR A 'PERIOD OF TIME'

The income statement is created for a definite period of time. This means that when we come up with an annual income statement on say, the 30th of June 2020, every income or expense between 1st July 2019 and 30th June 2020 will affect the income statement. Remember, this is different from a balance sheet, as it is created for a 'point in time'. When creating a balance sheet, we only care about what we own and owe today. That's it. However, for an income statement, we care about all the transactions in a given time frame- whether it is annual, monthly or quarterly, or any number of days.

